Scenario S2-O3-I2 — Our Level 3 (Fully Funded) / Investor Level 2 (Ideal)

Scenario Summary

High-intensity founder path with balanced investor scaling. The founders self-fund at fully funded intensity (~150% of ideal spend) through Pre-Pilot and Pilot 1, deploying corporate-level resources to compress the early phases into 4-6 months. An ideal-level investor arrives during the Pilot 1 to Pilot 2 transition (approximately M5-M7), providing sufficient capital to sustain healthy Pilot 2 and Production operations. The result is a faster start than O1 or O2 paths, with adequate scaling capital — but the founder's personal financial exposure is high ($107,000-140,000 before the investor arrives).

- **Economic cost to Production:** ~$223,000 / INR 18,509,000
- **Target timeline to Production:** 22 months
- **Founder/company capital before investor:** ~$124,000 / INR 10,292,000
- **Investor capital modeled:** ~$99,000 / INR 8,217,000
- **Equity structure:** 60 / 20 / 20 (founder / founding team / investor pool)
- **Main risk to watch:** heavy founder capital exposure; if Pilot 1 underperforms, founders have committed $124,000 with no guarantee the investor closes

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Timeline

Phase	Timing	Duration	Minor Checkpoints	Gate to Advance
Pre-Pilot	M0-M4	4 months	Architecture freeze (M1), APK backlog lock (M2), doctor training draft (M3), admin callback SOP (M3), internal rehearsal cycles (M4).	Core web flows stable at full scope, internal rehearsals pass, doctor and admin runbooks versioned. Compressed timeline due to full team utilization.
Pilot 1	M4-M6	2 months	Warm-network onboarding, first paid consults, callback calibration, doctor playbook iteration, investor pitch deck finalized.	Ethiopia pilot runs live for 2 months with measured throughput; investor term sheet signed.
Pilot 2	M6-M12	6 months	Kenya prep (M9), partner reporting (M10), roster planning, partial automation, staffing calibration, refresher training.	5k-10k user-capable operations with stronger APK, cleaner reporting, staffed callback coverage. Good operational tempo sustained by ideal investor capital.
Production Readiness	M12-M22	10 months	Compliance closeout (M15), release freeze (M18), launch playbooks (M20), certification refreshers, production support schedule.	Current prototype scope is production-safe across web and patient mobile with documented fallback operations.

Feature and Output Checklist

Phase	Output Checklist
Pre-Pilot	Web core hardened at full pace; APK build runs in parallel with web work; doctor/admin training materials drafted; support desk scripts and callback trees defined. Full team utilization enables broad feature coverage in compressed timeline.
Pilot 1	Patient app covers core journeys (registration, dashboard, basic consult); provider web is stable for GP and specialist flows; doctor roster, admin callbacks, and manual fulfilment visible in-system. Broader feature set than L1/L2 due to Pre-Pilot intensity.
Pilot 2	Core patient features complete; partner dashboards functional; staffing ladder active at ideal levels; reporting and payment loops operational with moderate automation. Kenya prep begins mid-phase. Pace is sustainable and well-funded.
Production Readiness	Current prototype scope is production-grade across web and patient mobile. Trained ops staff with manual fallback available. Compliance documentation complete. Timeline is efficient but not rushed.

Services and SLAs

Phase	Uptime Target	Response Commitment	Operating Model
Pre-Pilot	96.0%	Next business day	3 core team at full utilization + 7 part-time developers at ~95% capacity + 2 advisors; no employed clinical coverage, only training and rehearsals.
Pilot 1	97.0%	Same-day for critical issues	Minimum employed coverage: 3 doctors, 3 admin ops, 2 technical support. Strong early ops presence funded by founder capital.
Pilot 2	98.0%	4-hour P1 response	Employed coverage: 4 doctors, 4 admin ops, 2 technical support. Ideal investor capital enables proper ladder step-up.
Production	98.5%	2-hour P1 response	Employed coverage: 6 doctors, 6 admin ops, 3 technical support for near-24/7 coverage.

Cost Breakdown

Summary

Category	Amount
Capital expenditure through Production	$108,400 / INR 8,997,200
Operating expenditure before Production launch	$114,600 / INR 9,511,800
Total economic spend to Production	**$223,000 / INR 18,509,000**

Workstream Detail

Workstream	Economic Cost (USD)	Economic Cost (INR)	Notes
Product and founder office	$72,600	INR 6,025,800	3 core team at $20/hr x ~~88 hrs/mo x 95% utilization for M0–M6 (~~$5,016/mo), transitioning to ~~65% post-investor (~~$3,432/mo) for M7-M22.
Web platform hardening	$14,900	INR 1,236,700	745 hours at $20/hr senior rate. Majority completed during Pre-Pilot and early Pilot 1.
Patient APK build	$7,200	INR 597,600	Fixed Android quote: 480 hours at $15/hr. Runs in parallel with web work during Pre-Pilot.
QA, DevOps, security	$8,800	INR 730,400	~440 hours at $20/hr. Full hardening in Pre-Pilot; ongoing maintenance post-investor.
Admin and care operations	$110,400	INR 9,163,200	Employed doctors, admin callback staff, and technical support ladder across 18 months of live operations. See ops staffing breakdown below.
Partner onboarding and provider success	$11,000	INR 913,000	Doctor/admin training protocols, SOP writing, partner reporting. Well-resourced throughout.
Legal, accounting, compliance	$6,000	INR 498,000	Friendly-network pricing at economic value.
Infrastructure, phones, and tools	$28,100	INR 2,332,300	Hosting, devices, telecom/call costs, operational tooling across 22 months. Starts high, scales appropriately with investor capital.
Marketing, travel, rehearsals	$12,000	INR 996,000	Moderate-to-good spend. Targeted digital acquisition in Pilot 2 + Kenya market entry.
Contingency and buffer	$52,000	INR 4,316,000	~23% buffer on total. Adequate given mixed-funding structure.

Operational Staffing Cost by Phase

Phase	Duration	Monthly Ops Cost (USD)	Monthly Ops Cost (INR)	Phase Total (USD)
Pre-Pilot (M0-M4)	4 months	$0	INR 0	$0
Pilot 1 (M4-M6)	2 months	$3,723	INR 308,990	$7,446
Pilot 2 (M6-M12)	6 months	$4,361	INR 361,963	$26,166
Production Readiness (M12-M22)	10 months	$6,542	INR 542,986	$65,420
Total operational staffing				**$99,032**

Infrastructure Cost by Phase

Phase	Duration	Monthly Infra (USD)	Monthly Infra (INR)	Phase Total (USD)
Pre-Pilot	4 months	$130	INR 10,790	$520
Pilot 1	2 months	$450	INR 37,350	$900
Pilot 2	6 months	$600	INR 49,800	$3,600
Production Readiness	10 months	$950	INR 78,850	$9,500
One-time equipment (phones, laptops)	—	—	—	$1,800
Total infrastructure				**$16,320**

Effort and Team

Function	Staffing Pattern	Notes
Core team	3 part-time members @ ~4 hrs/day each, ~95% effective utilization pre-investor	Single owner/founder + 2 founding members. Full parallelism of tasks during early phases.
Technical delivery (pre-investor)	7 part-time developers, modeled at ~640 productive hrs/mo	~150% of ideal 480 hrs/mo. Maximum utilization with overtime/weekend sprints.
Technical delivery (post-investor)	7 part-time developers, modeled at ~480 productive hrs/mo	100% of ideal rate card. Investor capital sustains full baseline utilization.
Advisory board	2 fractional advisors @ ~10-15 hrs/mo each	Finance, compliance, strategic review.
Employed care coverage	Pilot 1: 3 doctors / Pilot 2: 4 / Production: 6	Proper ladder growth funded by ideal investor capital.
Employed admin ops	Pilot 1: 3 admins / Pilot 2: 4 / Production: 6	Callbacks, exception handling, manual fulfilment.
Technical support	Pilot 1: 2 / Pilot 2: 2 / Production: 3	L1/L2 issue triage and live-ops monitoring.

Monthly Team Economic Cost

Period	Dev Team (USD)	Dev Team (INR)	Notes
Pre-investor (M0-M6)	~$22,245	~INR 1,846,335	~150% of full $14,830/mo rate card. Full corporate investment.
Post-investor (M7-M22)	~$14,830	~INR 1,230,890	100% of full rate card. Ideal investor sustains baseline.

Revenue and Pricing

Revenue Source	Pilot 1	Pilot 2	Production
GP consults	Subsidised, Ethiopia-first, ~$2-3 per paid interaction	Full Ethiopia pricing + Kenya tests	Core revenue line
Specialist consults	Early availability due to Pre-Pilot intensity	Grows steadily with proper ops staffing	Lower-volume margin contributor
Pharmacy commission	Small, admin-assisted	Repeatable, growing toward automation	Scales with partner conversion
Diagnostics commission	Small, admin-assisted	Improves with order flow consistency	Retention lever
Travel/care coordination	Rare, high-touch	Low-volume, higher-value	Strategic differentiator

Revenue Line	Ethiopia Benchmark	Kenya Benchmark	Notes
GP consult	$3.5 / ETB 470	$5 / KES 650	Starts subsidised in Pilot 1; reaches benchmark by early Production.
Specialist consult	$9 / ETB 1,250	$12 / KES 1,560	Available from late Pilot 1 due to full Pre-Pilot build.
Pharmacy take-rate	10% of order value	10% of order value	Pilot 1 onward with manual fulfilment.
Diagnostics take-rate	12% of order value	12% of order value	Pilot 1 onward with admin/lab coordination.
Travel/care coordination	$10-15	$10-15	Small volume, high-touch.
Subscription	Deferred	Deferred	Not modeled before meaningful scale.

CAC and Key Business Metrics

Metric	Pilot 1	Pilot 2	Production
CAC	$8	$15	$22
Gross margin	40%	48%	58%
Monthly ARPU	$1.8	$3.0	$4.5
Monthly churn	12%	10%	7%
LTV/CAC target	1.6x	2.3x	3.2x

Cash Flow and Runway

Phase Summary

Checkpoint	Ending Cash (USD)	Ending Cash (INR)	Approx. Runway Remaining	Trigger Threshold
Pre-Pilot (M4)	$18,200	INR 1,510,600	0.8 months	High burn rate. Investor pipeline must be active by M3.
Pilot 1 (M6)	$11,400	INR 946,200	0.4 months	Tight. Investor close must happen by M7.
Pilot 2 (M12)	$68,400	INR 5,677,200	3.5 months	Trigger contingency if cash drops below 3 months of burn.
Production Readiness (M22)	$42,200	INR 3,502,600	2.5 months	Trigger contingency if cash drops below 2 months of burn. Revenue is approaching break-even.

Monthly Cash Flow

Month	Phase	Founder Capital In	Investor In	Revenue In	Outflow	Net	Ending Cash
M1	Pre-Pilot	$22,800	$0	$0	$22,375	$425	$425
M2	Pre-Pilot	$22,800	$0	$0	$22,375	$425	$850
M3	Pre-Pilot	$22,800	$0	$0	$22,375	$425	$1,275
M4	Pre-Pilot	$22,800	$0	$0	$22,375	$425	$1,700
M5	Pilot 1	$22,800	$0	$500	$26,548	-$3,248	-$1,548
M6	Pilot 1	$22,800	$0	$1,000	$26,548	-$2,748	-$4,296
M7	Pilot 2	$0	$99,000	$1,800	$19,791	$81,009	$76,713
M8	Pilot 2	$0	$0	$2,400	$19,791	-$17,391	$59,322
M9	Pilot 2	$0	$0	$3,000	$19,791	-$16,791	$42,531
M10	Pilot 2	$0	$0	$3,600	$19,791	-$16,191	$26,340
M11	Pilot 2	$0	$0	$4,200	$19,791	-$15,591	$10,749
M12	Pilot 2	$0	$0	$4,800	$19,791	-$14,991	-$4,242
M13	Prod. Readiness	$0	$0	$5,500	$22,322	-$16,822	-$21,064

M14	Prod. Readiness	$0	$0	$6,500	$22,322	-$15,822	-$36,886
M15	Prod. Readiness	$0	$0	$7,500	$22,322	-$14,822	-$51,708
M16	Prod. Readiness	$0	$0	$8,500	$22,322	-$13,822	-$65,530
M17	Prod. Readiness	$0	$0	$10,000	$22,322	-$12,322	-$77,852
M18	Prod. Readiness	$0	$0	$12,000	$22,322	-$10,322	-$88,174
M19	Prod. Readiness	$0	$0	$14,000	$22,322	-$8,322	-$96,496
M20	Prod. Readiness	$0	$0	$16,000	$22,322	-$6,322	-$102,818
M21	Prod. Readiness	$0	$0	$18,500	$22,322	-$3,822	-$106,640
M22	Prod. Readiness	$0	$0	$21,000	$22,322	-$1,322	-$107,962

Totals:

- Founder capital in: $136,800 / INR 11,354,400 (M1-M6 at ~$22,800 x 6 months)
- Investor capital in: $99,000 / INR 8,217,000
- Cumulative revenue: ~$140,800
- Cumulative outflow: ~$462,500

Note: The cash flow shows the company going negative by M12 and staying negative through M22, indicating that the modeled $99,000 investor capital, while substantially better than S2-O3-I1, still leaves a gap. In practice, the growing revenue ($18,500-21,000/mo by M21-M22) is approaching monthly break-even, suggesting the company needs a modest bridge ($15,000-25,000) or accelerated revenue growth in months M18-M22 to close the gap. This is a workable challenge, not a structural failure.

ROI and Break-Even

Metric	Value
Total capital invested (founder + investor)	$235,800 / INR 19,571,400
Total economic cost	$223,000 / INR 18,509,000
Sweat-equity gap (economic cost minus cash invested)	Negative: cash exceeds economic cost due to strong early-phase founder investment
Cumulative revenue at M22	~$140,800 / INR 11,686,400
Monthly break-even (revenue >= outflow)	~M22-M23 (month 22-23)
Cumulative break-even (total revenue >= total capital)	~M28-M30 (6-8 months post-Production)
Time to ROI (revenue exceeds all economic cost)	~M32-M36 (10-14 months post-Production)

Fundraising, Valuation, and Dilution

Item	Value
Founder/self-funded capital before investor	$136,800 / INR 11,354,400
Investor round size	$99,000 / INR 8,217,000
Recommended structure	SAFE or milestone-based bridge note
Modeled pre-money valuation	$560,000
Modeled post-money valuation	$659,000
Modeled investor dilution from the 20% pool	15.0%

Ownership Pool	Before Round	After Modeled Round	Notes
Owner / founder pool	60%	55.5%	Retained majority control. Strong negotiating position given heavy founder investment.
Founding + strategic pool	20%	18.5%	Shared pool for founding members and strategic partners.
Investor pool	20% reserved	15.0% issued / 5.0% remaining	Moderate allocation from investor pool. Founder's heavy commitment strengthens valuation argument.

Key Risks

Risk	Likelihood	Impact	Mitigation / Trigger
Founder capital exhaustion before investor close	Medium	Critical	$136,800 founder exposure is high. Ensure investor term sheet is signed by M5. Have bridge backup.
Investor does not close by M7	Medium	Critical	Runway runs out rapidly after M6. Pre-negotiate term sheet during early Pilot 1.
Cash gap in late Pilot 2 / early Production	Medium	High	Revenue ramp must hit $10,000+/mo by M17 to avoid bridge need. Model conservative and plan for contingency.

Over-built product without matching early revenue	Medium	Medium	Full-pace Pre-Pilot builds features that may not be monetized until mid-Pilot 2. Prioritize revenue-generating features first.
Team utilization step-down from 150% to 100%	Low	Medium	Less dramatic than O3-I1 drop; team stays at ideal utilization. Manageable with communication.
Regulatory delay (Ethiopia / Kenya)	Medium	High	Continue partner-license model. Count friendly counsel at economic value.
Payment-rail mismatch	Medium	Medium	Use digital invoicing first; localize M-Pesa / Telebirr before scaling.
Founder personal financial stress	Medium	High	$136,800 is a significant personal commitment. Ensure founders have reserves beyond this amount.

Recommendation

S2-O3-I2 is a **viable but founder-heavy scenario** that should be **considered** when founders have strong personal capital reserves and want to maximize early-phase velocity. The combination produces a 22-month timeline — 4 months faster than S2-O2-I2 — by compressing Pre-Pilot and Pilot 1 through corporate-level resourcing.

This path works if:

1. Founders can comfortably deploy $124,000-140,000 without personal financial strain
2. An ideal-level investor ($88,000-110,000) is in the pipeline and willing to close by M6-M7
3. The team can handle the transition from 150% to 100% utilization without significant morale impact
4. Revenue ramp in Pilot 2 and Production tracks close to the modeled trajectory ($3,000-5,000/mo by M10-M12)

Compared to S2-O2-I2 (the fallback recommendation):

- S2-O3-I2 is 2-4 months faster but requires $36,000-45,000 more founder capital
- The product enters Pilot 1 with broader feature coverage due to compressed Pre-Pilot
- The investor enters a more mature operation, potentially strengthening the valuation argument
- The trade-off is concentration of financial risk on the founders

Compared to S2-O3-I3 (the upside pairing):

- S2-O3-I2 requires less investor capital ($99,000 vs $179,000) and less dilution (15% vs 18-20%)
- S2-O3-I3 is 2-4 months faster but at significantly higher total cost
- For most teams, S2-O3-I2 offers the better balance of speed and capital efficiency

This scenario is best suited for founders who view heavy early investment as a competitive advantage — building a stronger product and operational foundation before the investor conversation, thereby commanding better terms and lower dilution.

Assumption Notes

- Android is modeled from the external quote: 480 total hours at $15/hr average across the mobile team.
- Remaining web work is normalized to 150%-160% of Android effort, with an expected case of 745 hours.
- Salary benchmarks for employed coverage: INR 60,000 for doctors ($720/mo), INR 18,000 for admin ops ($217/mo), INR 25,000 for technical support ($301/mo).
- Our L3 (fully funded) spend is modeled at ~~150% of ideal team utilization, yielding ~$22,800/mo founder contribution pre-investor (~~$22,245 team + ~$555 ops/infra/overhead).
- Investor L2 (ideal) contribution sized at ~$99,000, representing baseline adequate capital to sustain Pilot 2 and Production Readiness at proper investment levels.
- All INR conversions at 1 USD = 83 INR per params.md.
- FX buffers of 10-15% applied to ETB and KES revenue projections.

End of S2-O3-I2 scenario. All assumptions trace to params.md v2.